Credit Appraisal Memo

Decision Snapshot

Item	Value
Company	ABC Manufacturing Private Limited
Sector	Manufacturing
Requested Loan	50000000
Suggested Limit	35000000
Composite Score	6.3
Decision	REFER_TO_SENIOR
Risk Premium (bps)	350

Financial Snapshot

Metric	Value
Revenue FY2024	125.5
EBITDA FY2024	21
Net Profit FY2024	6.8
DSCR	**1.08**
Debt / Equity	N/A
Current Ratio	0.95

Five Cs Scorecard

Credit Dimension	Score	Weight
Character	**4.8/10**	0.35
Capacity	**6.8/10**	0.25
Capital	**5.2/10**	0.1
Collateral	**7.5/10**	0.2
Conditions	**6.0/10**	0.1

⚠ CRITICAL: DSCR Below Threshold
DSCR of 1.08 is below the policy minimum of 1.25

⚠ WARNING: Governance Concerns
Character score of 4.8 indicates significant governance issues

Executive Summary

ABC Manufacturing Private Limited is a Pune-based manufacturing entity operating in the Auto Components sub-sector since 2015. The company has requested a Term Loan of INR 50,000,000 for the purpose of expanding its manufacturing capacity. While the company has shown consistent revenue growth, reaching INR 125.5 Cr in FY2024, the credit assessment has resulted in a composite score of 6.3. Due to specific risk triggers and a Debt

Service Coverage Ratio (DSCR) of 1.08, which is below the policy minimum of 1.25, the system has categorized the decision as REFER TO SENIOR. The recommended action is to escalate the proposal to the Senior Credit Committee with a suggested reduced limit of INR 35,000,000 to ensure debt serviceability.

Company and Promoter Profile

ABC Manufacturing Private Limited (CIN: U28100MH2015PTC123456) is an established player in the Maharashtra automotive manufacturing landscape. The company employs 240 personnel and operates from its registered office in Pune. The promoter profile indicates significant skin in the game with a shareholding of 68.2%, although this exceeds the 60% threshold for pledging concerns [Source: Shareholding_Pattern_Q3_FY24]. Risk monitoring via the graph engine identifies the primary director as Rajesh Kumar, who carries a director stress score of 0.375 due to 3 distressed directorships. Furthermore, group exposure is high at INR 470,000,000 across 7 entities, triggering a concentration risk flag.

SWOT Analysis

Strengths: Consistent revenue and EBITDA growth over the last three fiscal years; strong collateral coverage (1.8x) via plant and machinery.
Weaknesses: Weak DSCR (1.08); high leverage (D/E 4.8); low current ratio (0.95); decelerating revenue growth.
Opportunities: Capacity expansion in a moderate growth sector; potential to improve credit score by reducing promoter pledges.
Threats: Director stress and distressed directorships; statutory auditor resignation; active DRT litigation; raw material volatility.

SWOT Matrix

Strengths	**Weaknesses**
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Industry and Conditions

The company operates within the Auto Components sector, which currently maintains a moderate growth outlook. However, the business faces macro risks including raw material price volatility and the cyclical nature of automotive demand. The Conditions score is 6.0, reflecting these external pressures. Internal site visits conducted on March 5, 2024, by the

field officer noted that factory capacity utilization is currently between 40-60%, suggesting that the proposed expansion may be premature relative to current output levels.

Financial Analysis

The company's financial trajectory shows revenue increasing from INR 88 Cr in FY2022 to INR 125.5 Cr in FY2024. EBITDA has followed a similar upward trend, reaching INR 21 Cr in the latest fiscal year. Despite these gains, the financial structure exhibits high leverage with a Debt-to-Equity ratio of 4.8 and a total debt of INR 100 Cr against a net worth of INR 21 Cr. Liquidity is constrained, evidenced by a current ratio of 0.95. Most critically, the DSCR stands at 1.08, failing to meet the internal benchmark of 1.25, which is the primary driver for the recommended reduction in the loan limit [Source: Financial_Statements_FY2024, Page 3].

Five Cs Narrative

Character (Score: 4.8): Governance concerns are noted following a statutory auditor resignation due to disagreements on accounting treatment [Source: Board_Minutes_Q3_2024, Page 3]. Additionally, there are 2 active DRT cases out of 8 total litigation matters.
Capacity (Score: 6.8): While revenue is growing, the capacity to service additional debt is limited by the current DSCR of 1.08. GST and bank reconciliation shows high divergence in 4 months of the year.
Capital (Score: 5.2): The company is characterized by high leverage and a relatively thin equity base compared to its total debt obligations.
Collateral (Score: 7.5): This is a position of strength, with Plant and Machinery valued at INR 63,000,000 by XYZ Appraisal Services, providing a collateral coverage ratio of 1.8.
Conditions (Score: 6.0): Moderate sector growth is balanced against cyclical demand risks.

Pre-Cognitive Risk Analysis

The analysis identifies significant triangulation flags regarding revenue reporting. There is a mismatch between GST (INR 95 Cr), ITR (INR 92 Cr), and Financial Statements (INR 108 Cr), resulting in a score impact of -0.8. Furthermore, velocity trends indicate that revenue growth is decelerating sharply from 12% to 3%. Isolation forest modeling confirms high-risk anomalies in the Debt-to-Equity and Interest Coverage ratios when compared against a peer group of 280 entities.

Proposed Facility and Structure

The proposed facility is a Term Loan of INR 50,000,000 for a tenure of 60 months at an interest rate of 12.5%. However, based on the credit assessment, the suggested limit is capped at INR 35,000,000. This reduction is mandated to maintain a projected DSCR of 1.25

or higher. The facility will be secured by Plant and Machinery valued at INR 6.3 Cr. A risk premium of 350 bps has been applied to the pricing to account for the identified risk factors.

Recommendation and Rationale

The recommendation is to Escalate to Senior Credit Committee (Decision Band: REFER_TO_SENIOR). The rationale for this escalation includes the breach of the policy minimum DSCR, the high leverage of the entity, and qualitative concerns regarding governance and promoter stress. The management interview regarding Q3 revenue declines was noted as evasive by the credit officer, further necessitating senior oversight. Approval should be contingent upon the reduced limit of INR 3.5 Cr to ensure the viability of debt servicing.

Audit Trail Summary

This appraisal was processed under Policy Version POL_V2.1 with a total of 87 signals analyzed from 28 data sources. Three ML models (FinBERT, Isolation Forest, and Graph Engine) were utilized. One manual override was applied to the promoter pledge score due to a DRT case not yet indexed in the bureau, which was approved by the Risk Head. The total processing duration was 12.3 seconds, finalized on March 11, 2024.